

NMB Bank Limited

Financial Statements — Fiscal Year 2022/23 (FY2023)

For the year ended Ashadh 31, 2080 (15 July 2023). All amounts in NPR Millions unless otherwise stated. Prepared in accordance with Nepal Financial Reporting Standards (NFRS).

Synthetic document for ICAN GenAI workshop. All figures are fictional and internally consistent for educational use.

Statement of Financial Position (Balance Sheet)

Particulars	FY2023	FY2022
ASSETS		
Cash and Cash Equivalents	28,460	25,180
Due from Nepal Rastra Bank	14,920	13,640
Placements with Banks and FIs	9,840	8,720
Loans and Advances to Customers	212,890	197,420
Investment Securities	28,140	26,360
Property, Plant and Equipment	2,820	2,460
Intangible Assets	412	385
Other Assets	938	145
Total Assets	298,420	274,310
LIABILITIES		
Due to Banks and FIs	12,840	11,260
Customer Deposits	251,640	230,180
Debt Securities Issued	2,420	420
Other Liabilities (Current)	16,420	15,180
Provisions	950	830
Total Liabilities	284,270	257,870
Deferred Tax Liabilities (Non-Current)	240	210
EQUITY		
Share Capital	17,880	17,200
Reserves and Surplus	14,270	12,440
Total Equity	32,150	29,640
Total Liabilities and Equity	316,660	287,720

Statement of Profit or Loss

Particulars	FY2023	FY2022
Interest Income	24,180	21,620
Interest Expense	(12,360)	(11,180)
Net Interest Income	11,820	10,440
Fees and Commission Income	3,420	3,140
Fees and Commission Expense	(480)	(420)
Net Fees and Commission Income	2,940	2,720
Net Trading Income	640	580
Other Operating Income	1,140	1,180
Operating Income	16,540	14,920
Personnel Expenses	(3,820)	(3,440)
Operating Expenses	(3,180)	(2,920)
Depreciation and Amortisation	(420)	(380)
Impairment Charges on Loans	(2,840)	(2,420)
Profit Before Tax	6,280	5,760
Tax Expense	(2,096)	(1,950)
Net Profit for the Year	4,184	3,810
Earnings Per Share (Basic, NPR)	23.40	22.15

Selected Liquidity and Solvency Indicators

Indicator	FY2023	FY2022
Current Assets (Cash + Due NRB + Placements + ST Loans)	78,260	70,440
Current Liabilities (Customer Demand Dep. + Due to Banks)	60,140	55,820
Current Ratio (times)	1.26	1.26
Total Equity	32,150	29,640
Total Liabilities	284,270	257,870
Debt-to-Equity Ratio (times)	8.84	8.70
Net Profit Margin (Net Profit / Operating Income)	25.30%	25.54%
Return on Equity (ROE)	13.45%	13.10%
Return on Assets (ROA)	1.46%	1.45%
Capital Adequacy Ratio (CAR)	13.20%	12.85%

Notes to the Financial Statements (Selected)

Note 1 — Basis of Preparation

The financial statements have been prepared in accordance with Nepal Financial Reporting Standards (NFRS), Bank and Financial Institutions Act 2073, and applicable directives issued by Nepal Rastra Bank. The functional currency is the Nepalese Rupee (NPR).

Note 2 — Loans and Advances by Sector

Sector	FY2023 (NPR M)	% of Total
Hydropower	42,820	20.1%
Real Estate and Construction	37,640	17.7%
Manufacturing	31,140	14.6%
Trading and Services	29,860	14.0%
Agriculture and Forestry	21,940	10.3%
SME (Small and Medium Enterprises)	26,420	12.4%
Personal / Consumer	16,820	7.9%
Others	6,250	2.9%
Total Loans and Advances	212,890	100.0%

Note 3 — Capital Adequacy

The Bank's capital adequacy is calculated in accordance with the Capital Adequacy Framework 2015 (Updated July 2022) issued by Nepal Rastra Bank. Tier 1 Capital was NPR 26,420 million (FY2022: NPR 24,180 million) and Tier 2 Capital was NPR 5,730 million (FY2022: NPR 3,940 million). Total Risk Weighted Exposure was NPR 243,560 million.

Note 4 — Related Party Transactions

Transactions with subsidiaries during the year included loans extended to NMB Capital Limited of NPR 420 million, interest received from NMB Microfinance Bittiya Sanstha of NPR 78 million, and shared service fees received from NMB Insurance Brokers Pvt. Ltd. of NPR 12 million.